Current Account

Credit Items	Debit Items
1. Goods Export(visible)	1. Goods Import
2. Invisible Exports	2. Invisible Imports
1. Transport service sold abroad	1. Transport services purchased from foreign countries
2. Banking service sold abroad	2. Banking services purchased from foreign countries
3. Insurance service sold abroad	3. Insurance services purchased from foreign countries
4. Income received on loan and investment made in foreign countries	4. Visit of our tourists to foreign countries
5. Expenses incurred by foreign tourists in India	5. Other services purchased from foreign countries
	6. Interest paid on loan in home country

CAPITAL ACCOUNT

Capital account consists of three components

1. Private Capital
2. Banking Capital
3. Official Capital

1. Private Capital

Private capital consists of foreign investments, long term loan and foreign currency deposits

2. Banking Capital

Banking capital includes movement into external financial asset and liabilities commercial and co-operative banks authorized to dealing in foreign exchange

3. Official Capital

It includes RBI's holdings of foreign currency and special drawing rights (SDR) held by the Government

Key Terms

1. Balance of Payments
2. Balance of Trade
3. Current Account
4. Capital Account



For Future Learning

1. Impact of Balance of Payments and Trade
2. Necessary for Global Village concept



For Own Thinking

1. Balance of Payment is key to economic development
2. Importance of BOP and BOT



Exercise

I. Choose the Correct Answer

1. The Statement which discloses a record of transactions between the residents of one country and residents of foreign country.

(a) Balance of Payment

(b) Balance of Trade

(c) Statement of Receipts and Payments

(d) Accounting Statement

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